

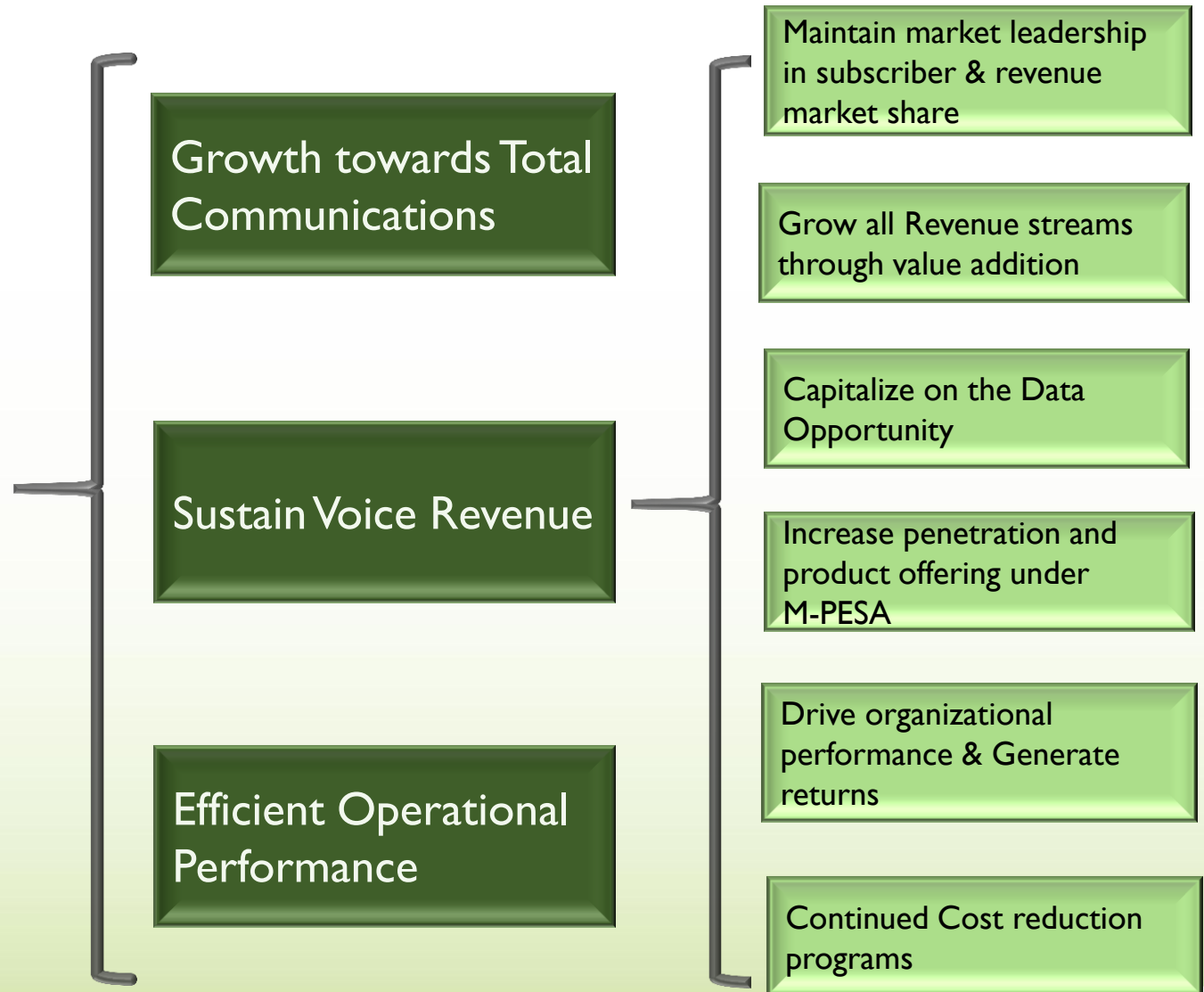


Safaricom Ltd

FY 2011 Results Announcement

18th May 2011

Niko na Safaricom



We have achieved

Growth in
Revenues

Maintained Market
Leadership

Increased
penetration of
innovative products

through well aligned actions

Increased focus on Data,
M-PESA and Value Added
services to fuel Revenue
growth

Investment in Infrastructure to
support the quality & capacity
of our Network and Services

Passionately focused on the
customer while strengthening
our brand presence

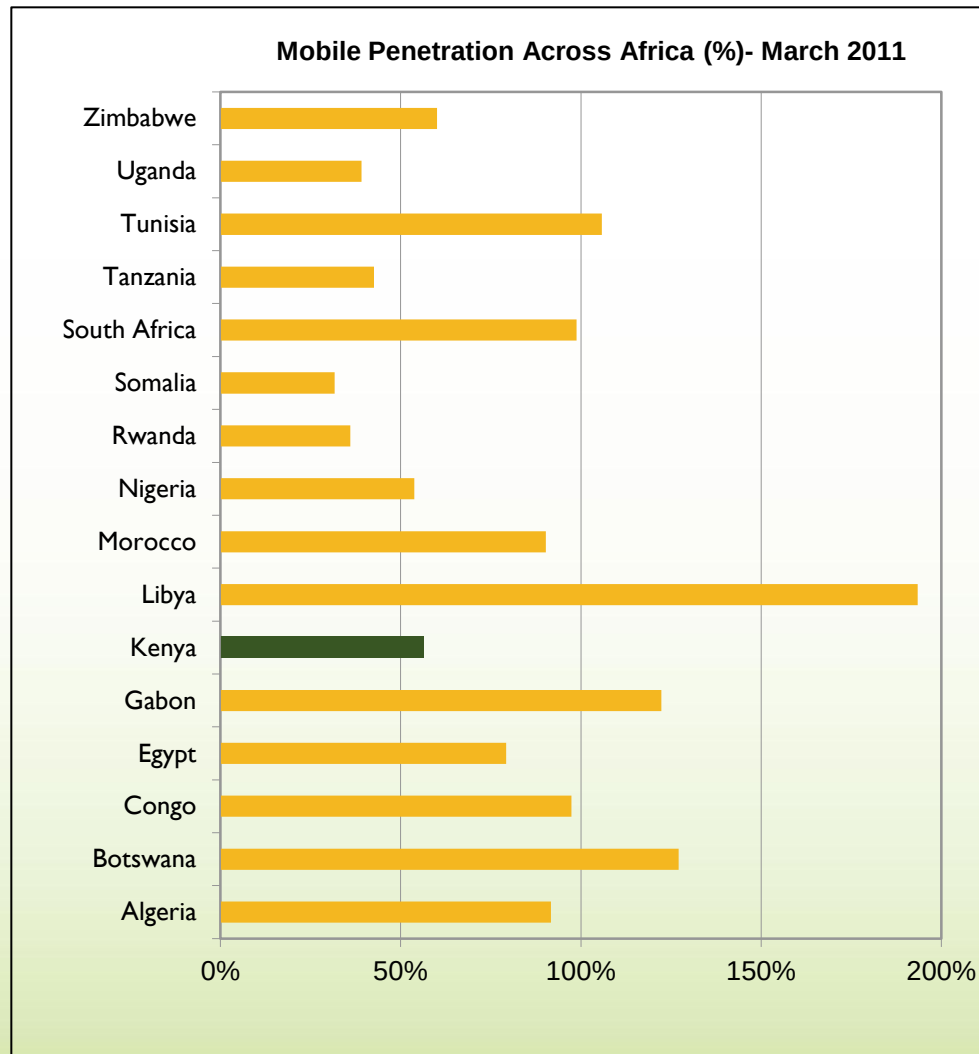
operating in a highly competitive market

Aggressive competition
in mobile tariffs

Increased regulatory
activity

Economy impacted by
inflationary pressure, high fuel
prices & lower disposable
incomes

4 Market Dynamics

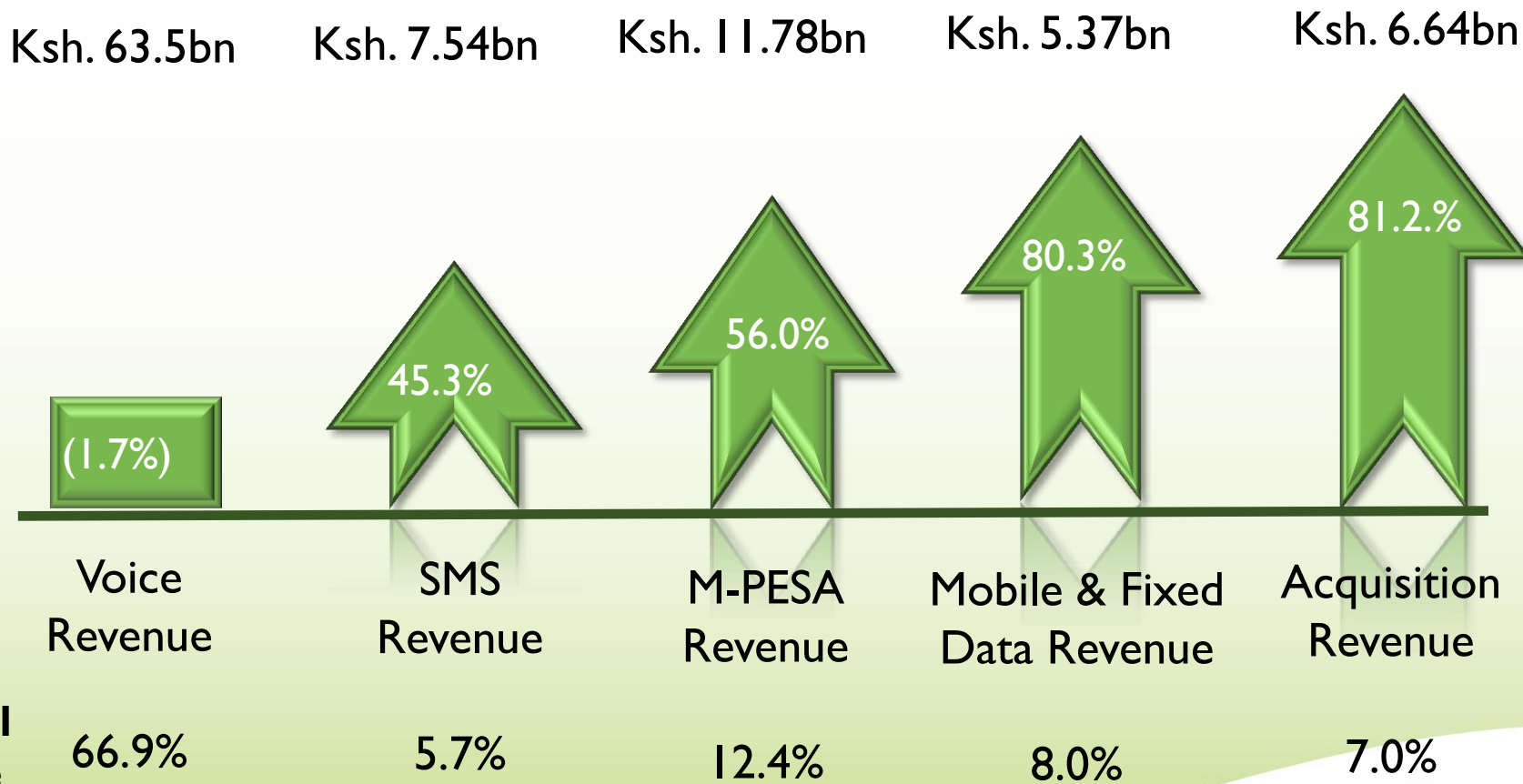


- Mobile phones now the primary communication tool for most Kenyans
- SIM penetration over 60%
- M-PESA is the preferred money transfer service globally
- Most Kenyans have their first internet experience via their mobile phone
- Internet penetration still low at less than 15% in 2010
- Mobile Data & Mobile Money is the next milestone for the Telecoms Industry in Africa

COMPANY PERFORMANCE

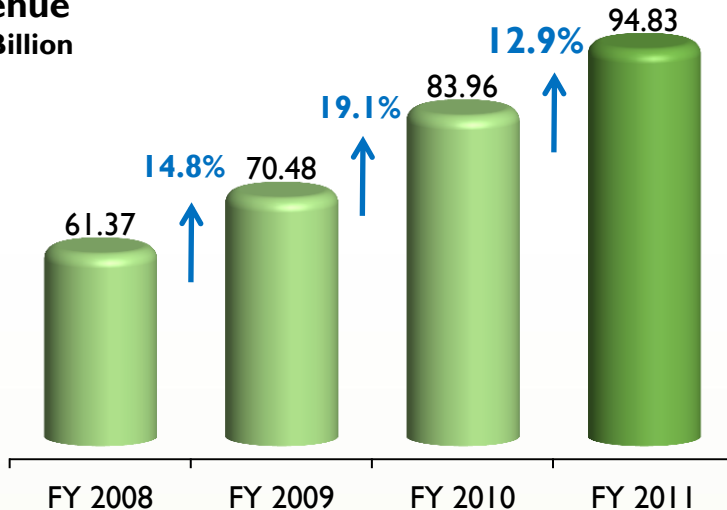
6 Revenue Growth

12.9% growth in Turnover to Ksh. **94.83 bn**
9.8% growth in Ongoing Revenue to Ksh. **88.20 bn**

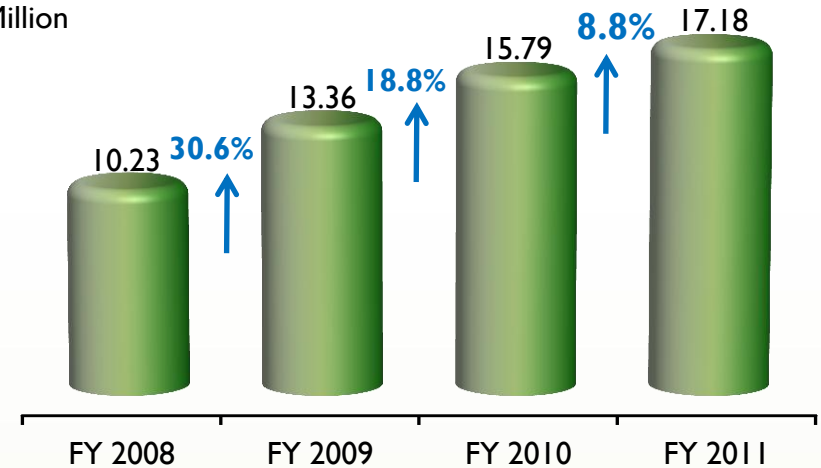


Revenue Growth Beats Expectations

Revenue
Ksh. Billion



Subscribers
Million



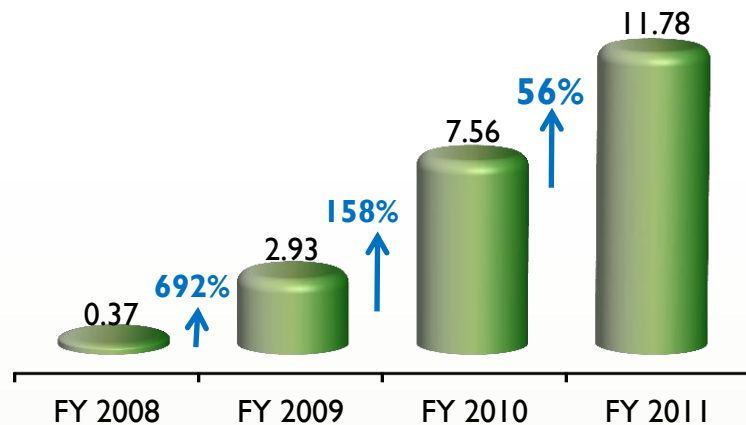
Revenues grew at a faster rate than subscriber growth as we continue to maintain market leadership

Minutes of Use per subscriber also increased significantly from 60.6 minutes to 96.0 minutes

Exceptional Performance from Data & M-PESA

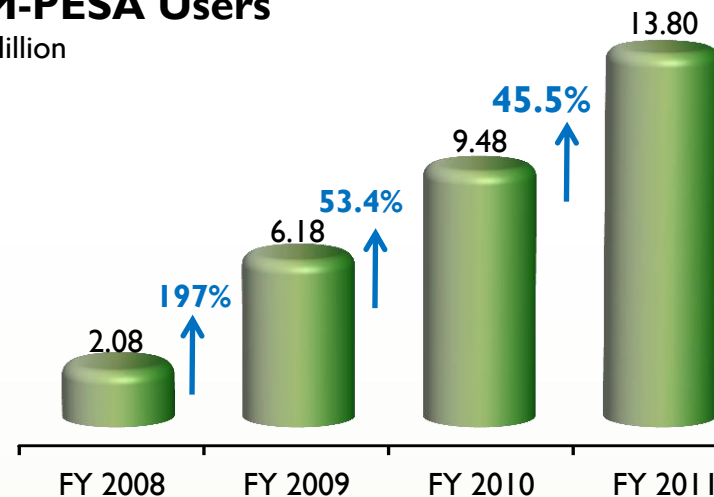
M-PESA Revenue

Kshs. Billion



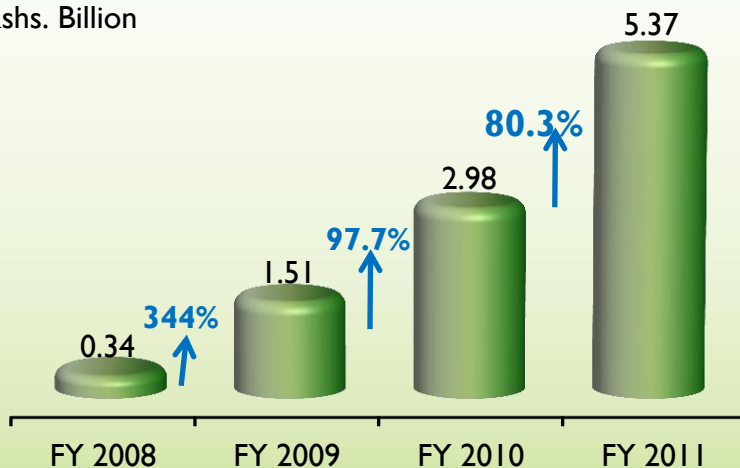
M-PESA Users

Million



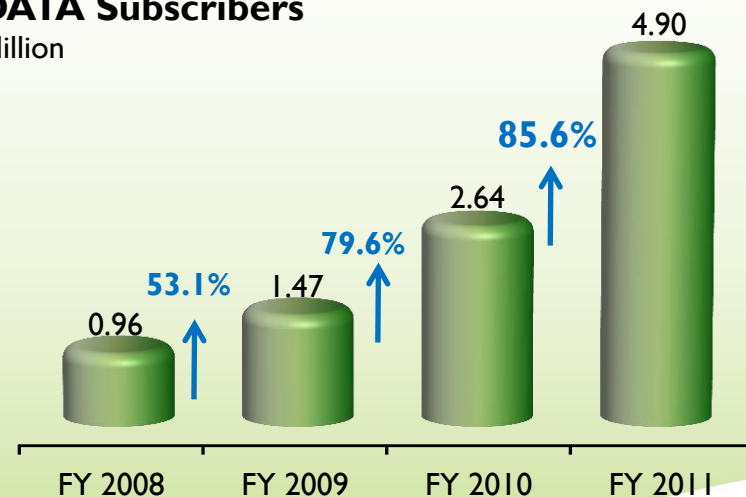
Mobile & Fixed Data Revenue

Kshs. Billion

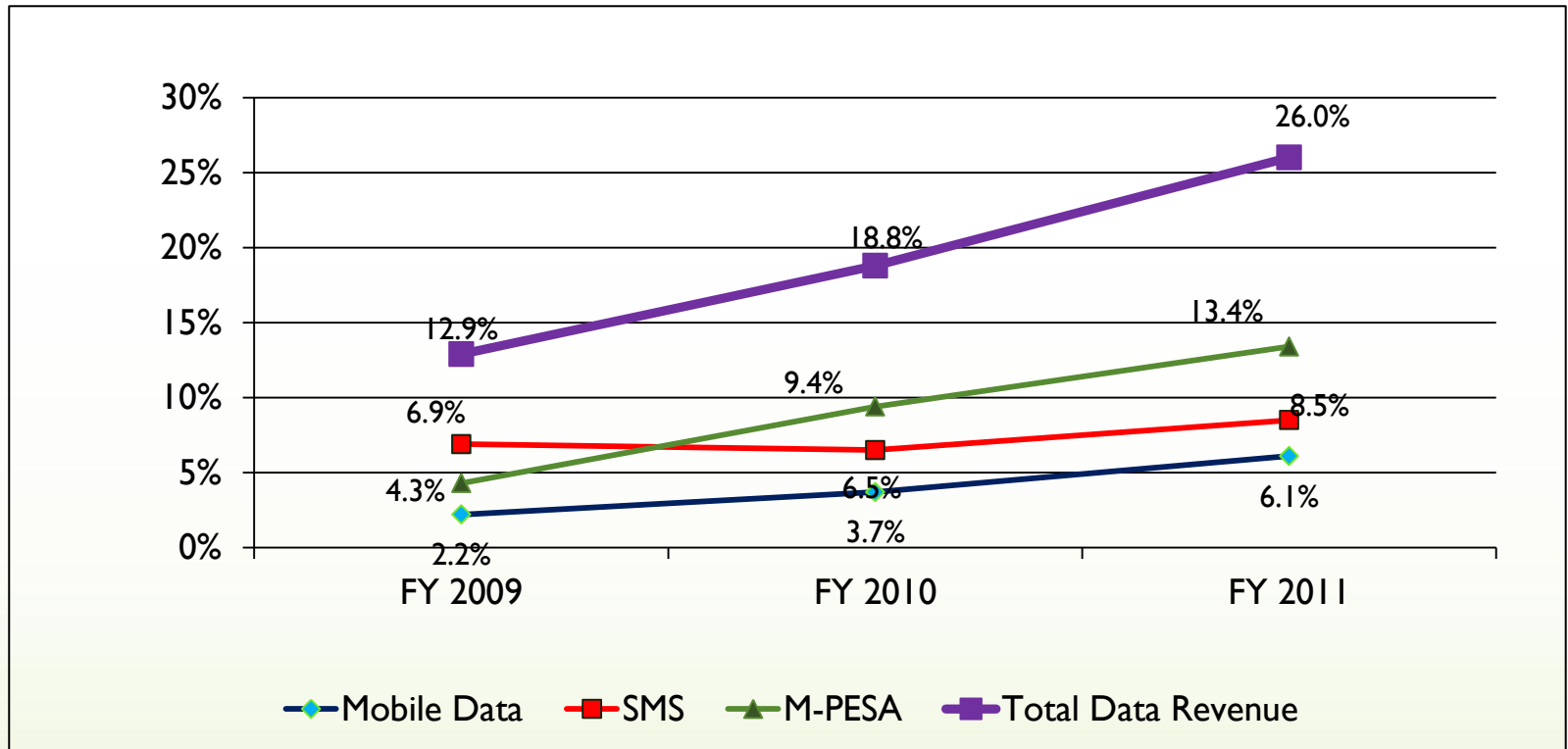


DATA Subscribers

Million



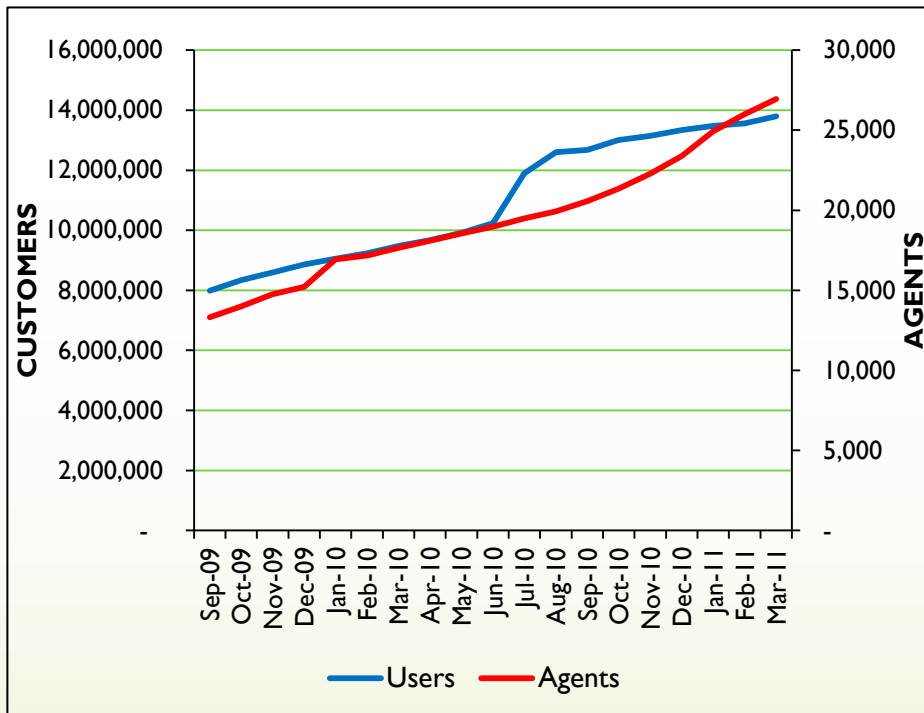
Mobile Data/SMS/M-PESA Contribution to Ongoing Revenue



The 3 revenue channels now contribute over a quarter of revenues and are gradually offsetting the decline in Voice revenues

10 M-PESA: Expanding Further

M-PESA Customers/Agents

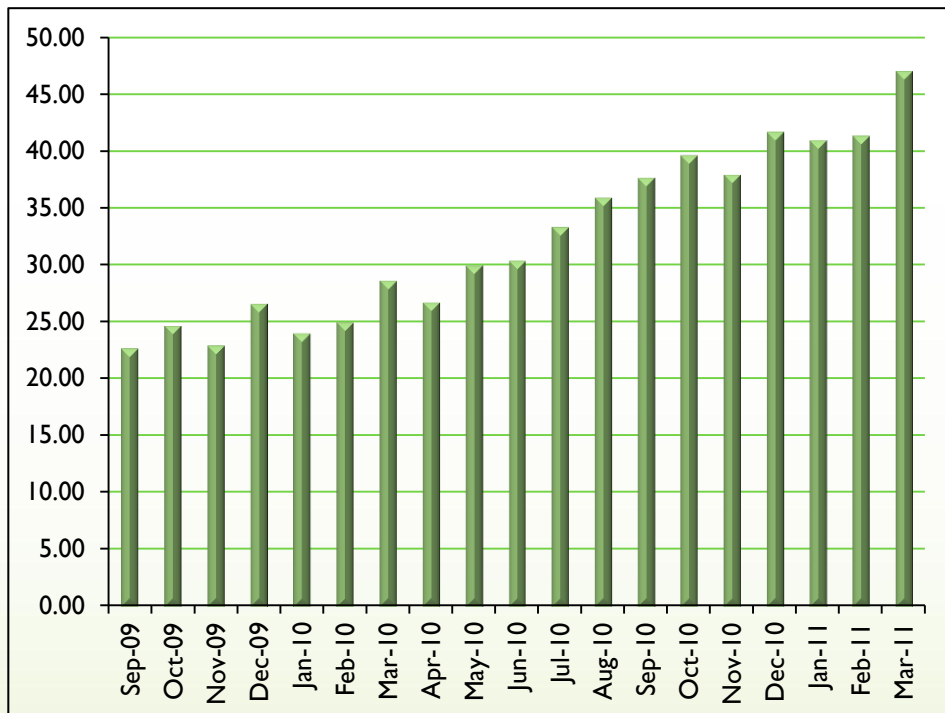


M-PESA continues to experience strong growth in users to 13.8 million in March 2011

The Agent network has expanded further to a total of 26,948 agents countrywide

Monthly P2P Transactions

Ksh. Billion



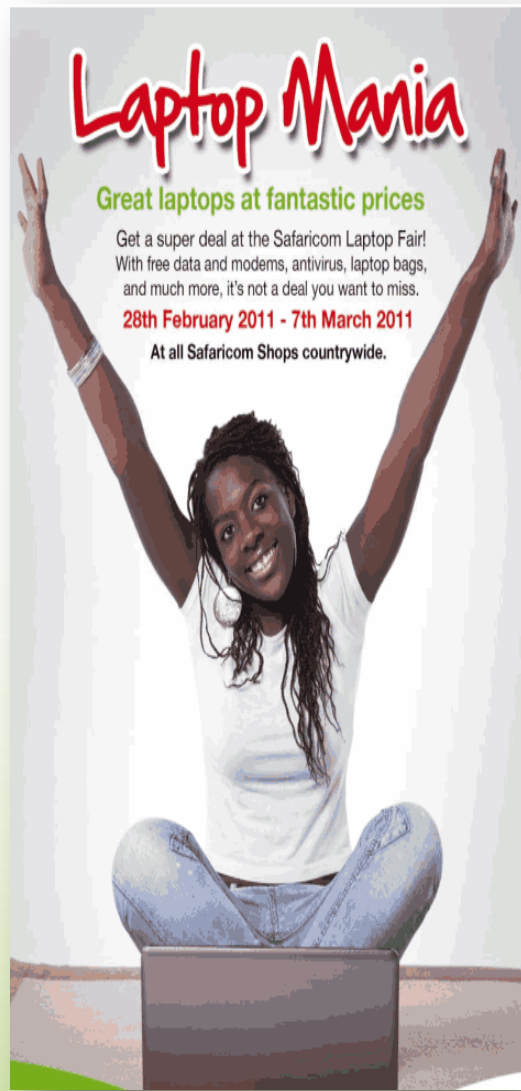
Person-to-Person transactions for March 2011 stood at Kshs. 47 billion (\$ 0.57 billion)

Cumulative value of transactions from inception is Kshs. 828 billion (\$ 9.98 billion) as at end of the period

- Voice remain the biggest revenue stream with Ksh. 63.5 bn generated by March 2011
- Declining prices and potential further reductions in mobile termination rates
- Declining Voice ARPU

Firming up Voice Revenues

- Continued focus on the Customer to understand and satisfy their needs
- Attractive pricing
- Easy access to airtime for our customers by expanding our distribution channels
- Promotional activities aimed at stimulating usage and spending
- Further investment in the network to guarantee quality and reach
- Building on brand awareness and loyalty



- Relative high cost of handsets and data enabled the main inhibitor to Data penetration in Kenya
- Over 500,000 data enabled handsets and laptops sold within the financial year
- Acquisition revenues increased by 81.2% to Ksh. 6.64 bn (Ksh.3.66 bn in March'10)
- Growing demand for Smart devices and faster internet speeds
- 35 retail shops countrywide and an expansive dealer network with over 230,000 touch-points

Powered by ANDROID.

IDEOS™
with Google

Get it all. Go Android.
High Speed 3G Internet • Over 60,000 Android Applications

8,499/-

ON THE SHELF Laptop PLUS

For Only **Ksh.46,999**

HP COMPAQ CQ62-230EI

- Microsoft Windows® 7 Starter
- Processor - Intel® Dual Core 2.30GHz
- 15.6" HD BrightView Screen
- Memory - 3GB RAM
- Hard Drive - 320 GB
- DVD/Blu-ray Optical drive
- Altec Lansing Audio speakers
- Webcam (External)
- Wi-Fi (802.11n) included

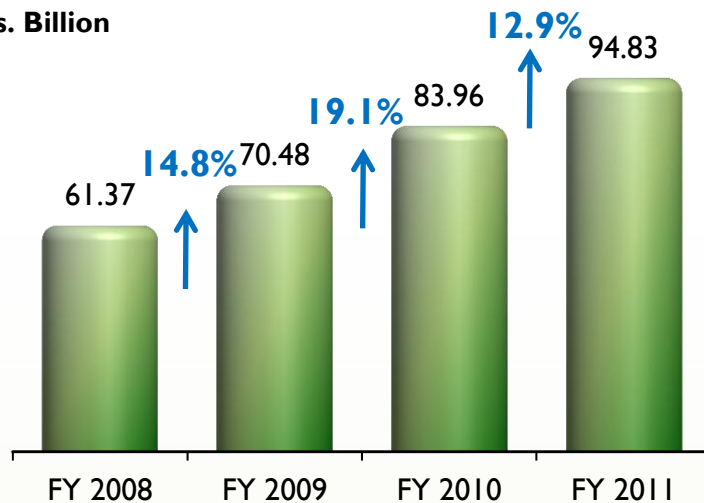
Purchase the HP Compaq CQ62-230EI and receive a **FREE HP DESKJET D2663 Printer**, HP USB Mouse, Modem & 40 MB Data.

FINANCIALS

Strong Operational Performance

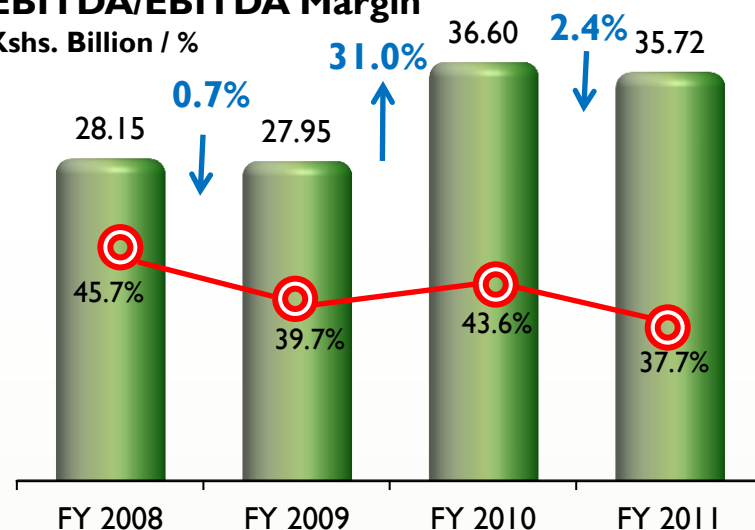
Revenue

Kshs. Billion



EBITDA/EBITDA Margin

Kshs. Billion / %



Profit Before Tax

Kshs. Billion

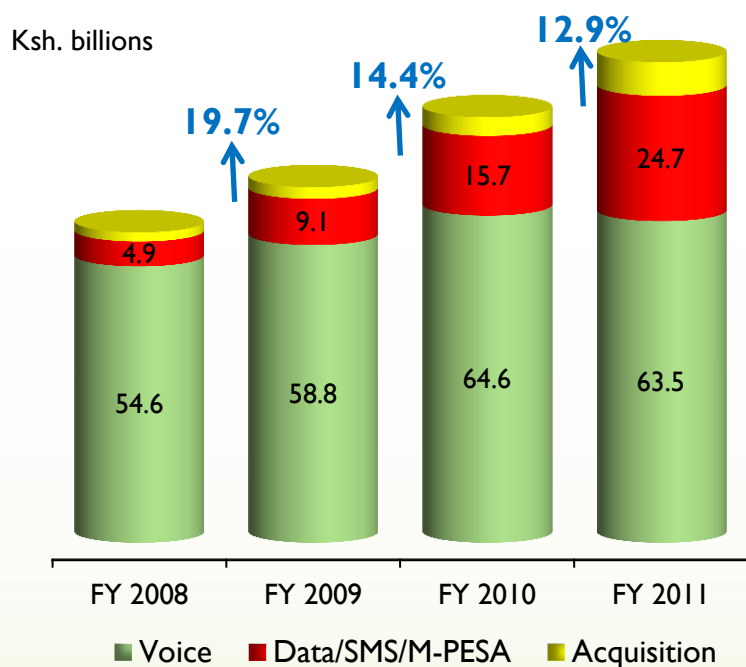


Net Income/ Margin

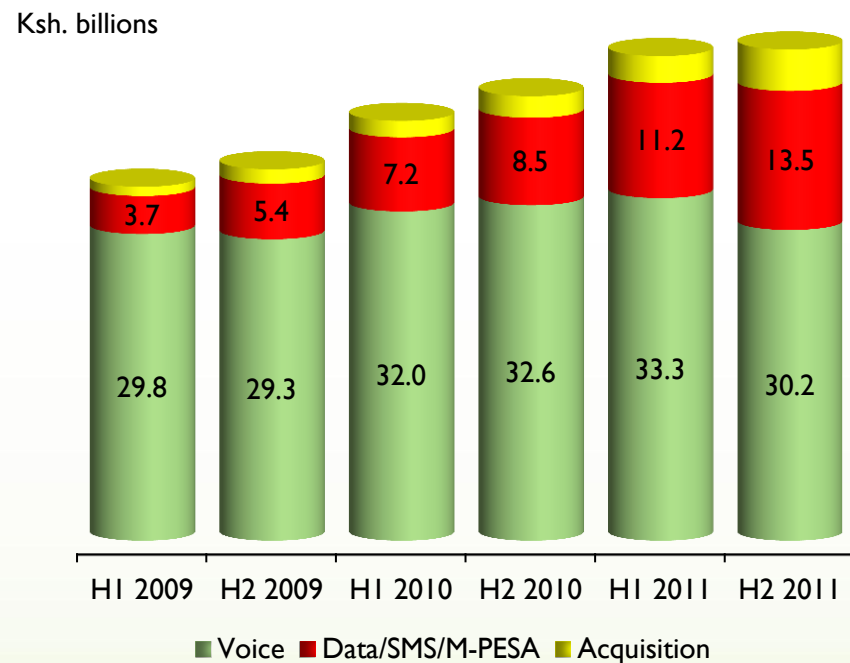
Kshs. Billion / %



YoY Revenues Analysis



H1/H2 Revenue breakdown



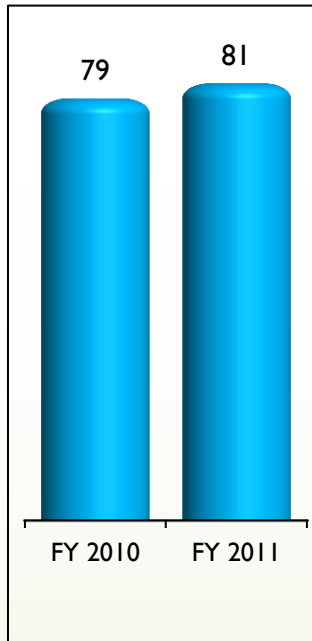
Total Revenues still growing with a 12.9% increase to Ksh. 94.83bn

- Voice Revenue with the largest contribution of Ksh. 63.50 bn
- Data revenue increased by 57.1% to Ksh. 24.70 bn accounting for 28.0% of ongoing revenues (19.6% Mar 10)
- Acquisition revenue increased by 81.2% representing 7% of revenues (2% Mar 10)

16 KPIs: Robust ARPU

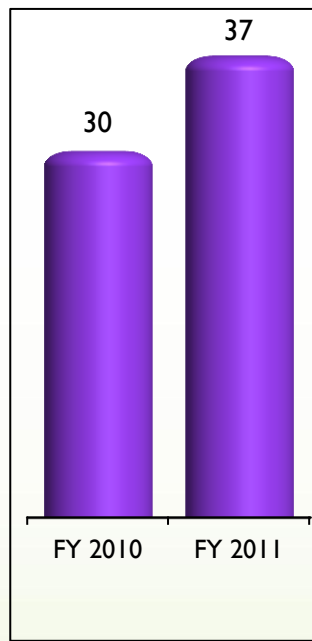
M-PESA

Kshs.



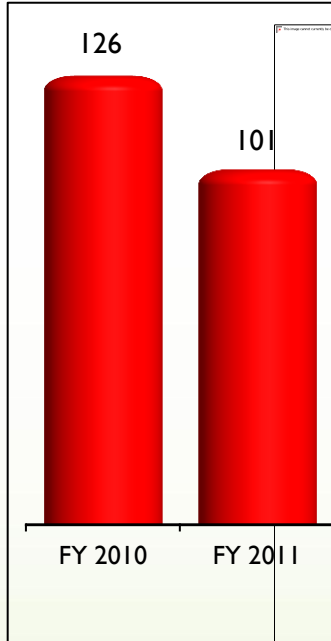
SMS

Kshs.



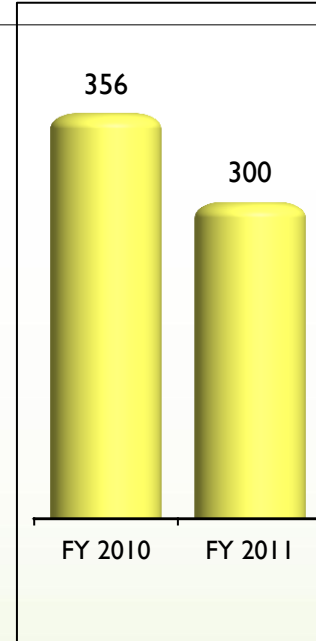
DATA

Kshs.



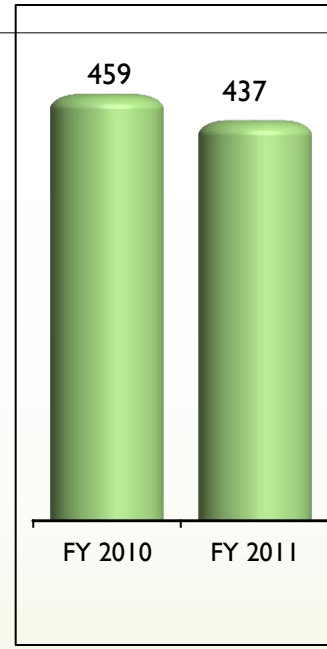
VOICE

Kshs.



Blended ARPU

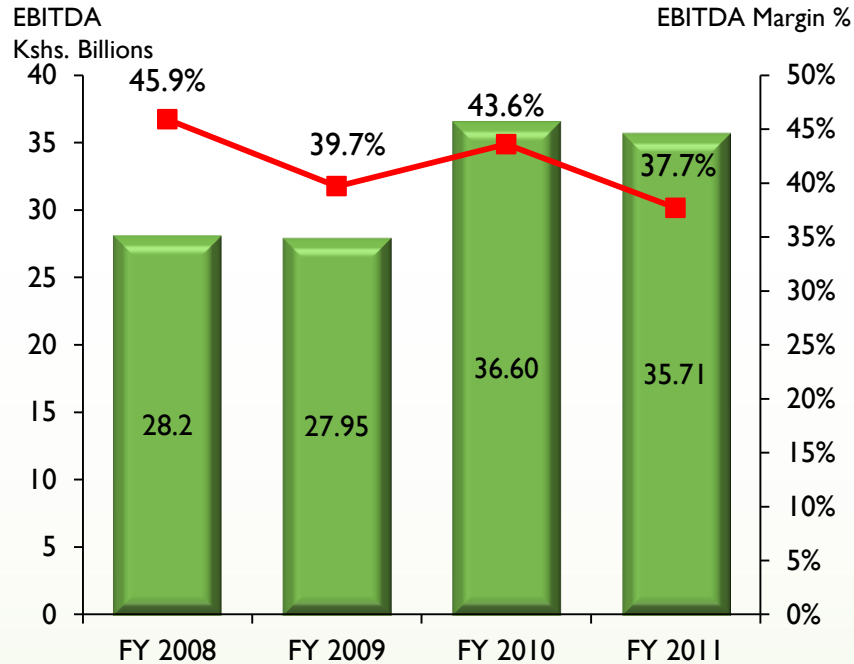
Kshs.



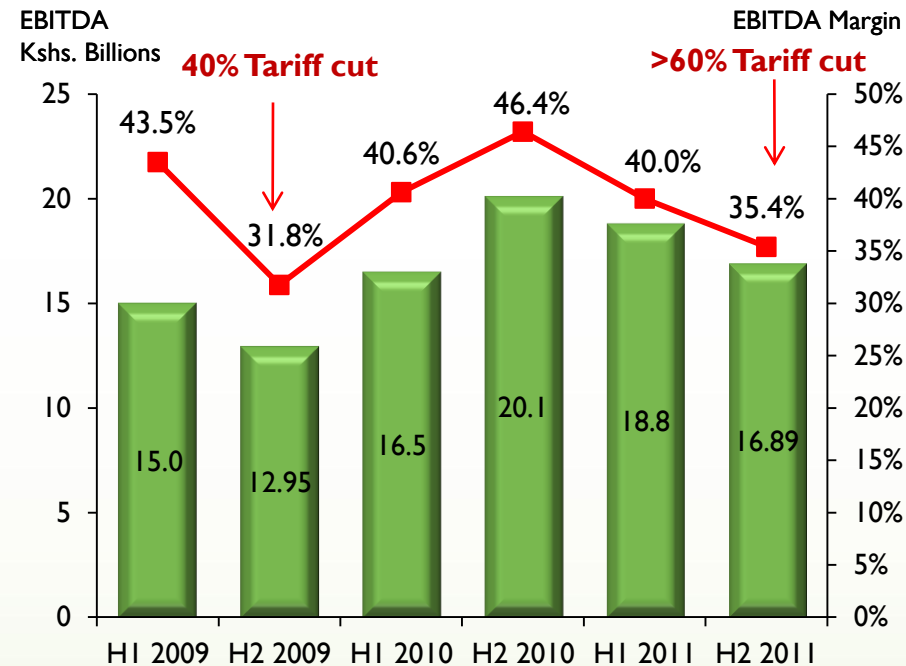
- Even with increase in M-PESA subscribers, M-PESA ARPU has increased by 2.7 %
- SMS ARPU grew by 23 % as a result of an intensified drive to grow SMS usage
- Voice ARPU declined as a result of tariff reduction and dilutive impact of new subscribers who tend to spend less

KPIs: Resilient EBITDA & Margins

YoY EBITDA

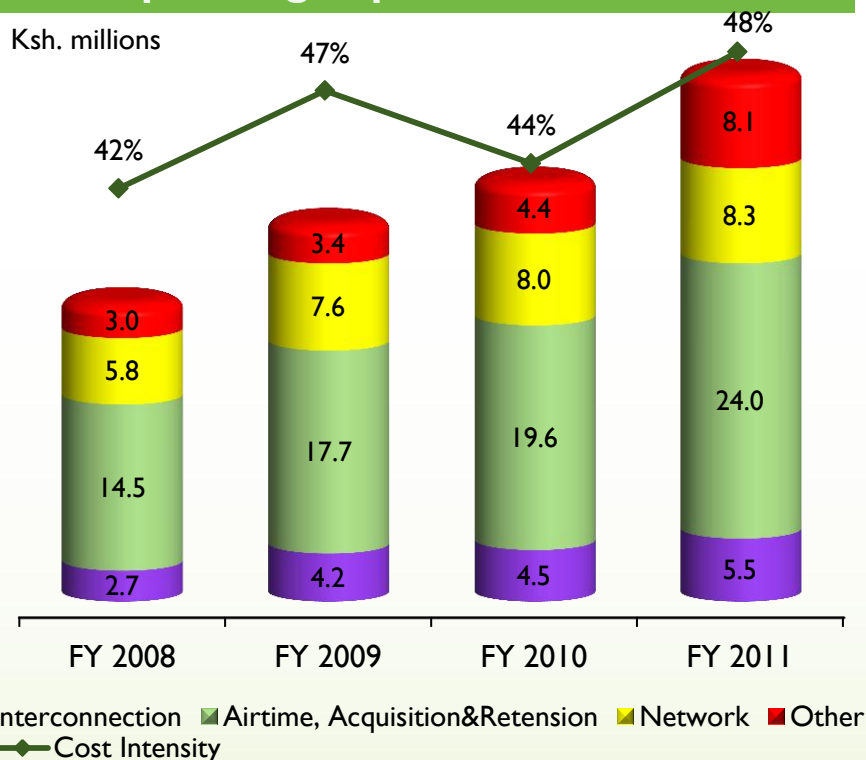


HI/H2 EBITDA

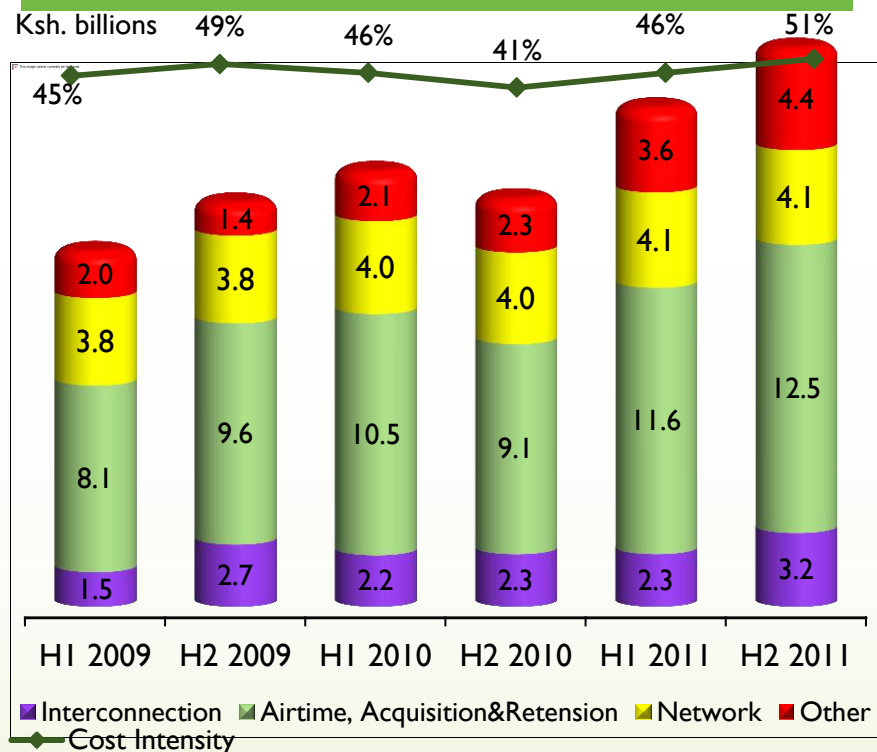


- Resilient EBITDA of Ksh. 35.72 billion and EBITDA margin of 37.7%
- EBITDA margin is above the average for our African peers

YoY Operating Expenses



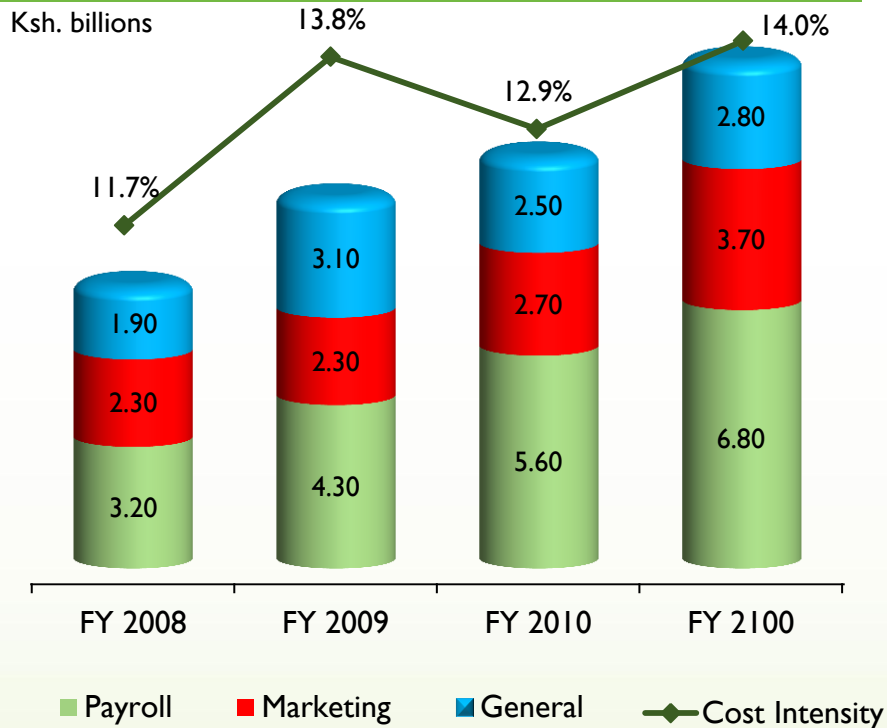
H1/H2 OPEX Breakdown



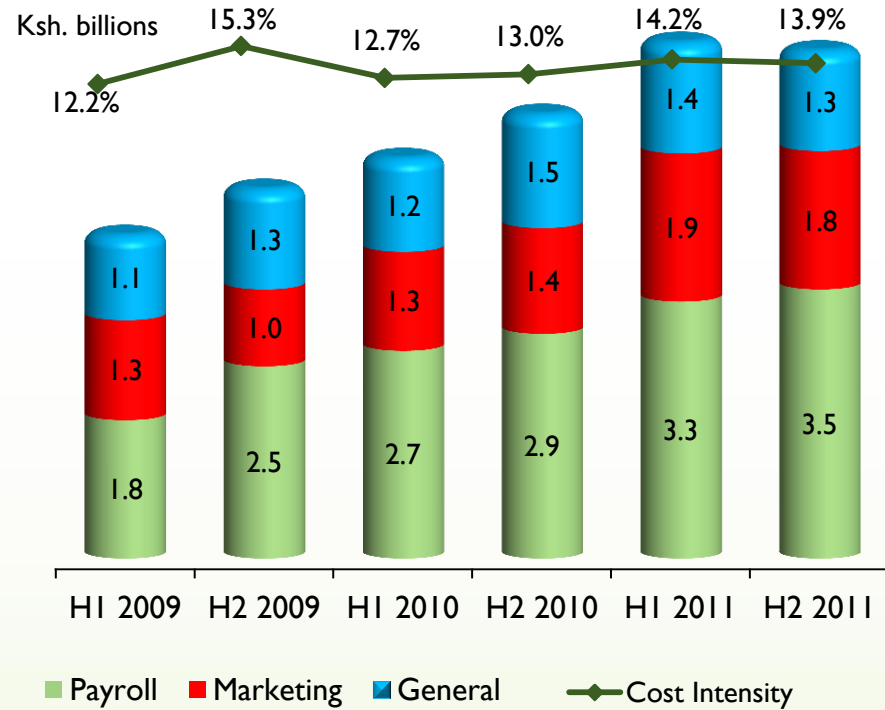
- Acquisition Costs grew in line with the customer acquisition strategy particularly for M-PESA and Data
- Other costs increased in License costs and Value Added Services costs in line with continued coverage and revenue growth
- Increase in interconnection expenses with the decline in off-net tariffs and termination rates
- Savings in airtime cost

19 Cost Structure: SG&A

YoY SG&A



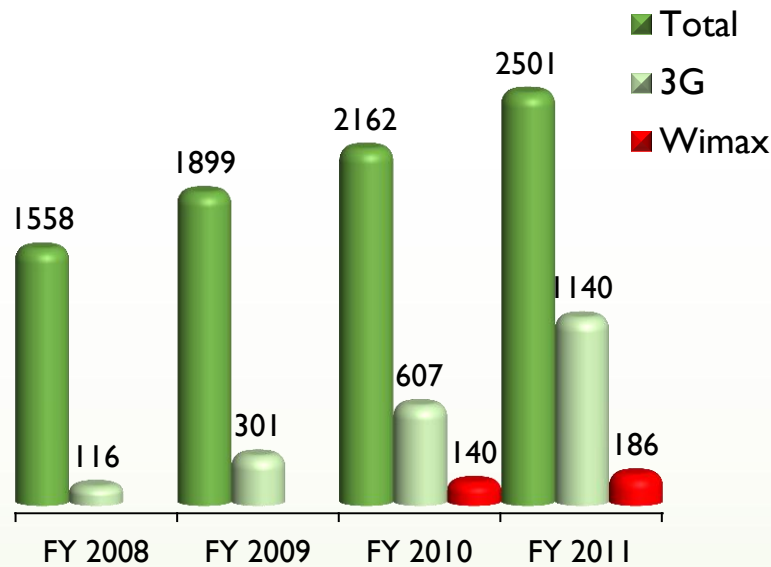
HI/H2 SG&A Breakdown



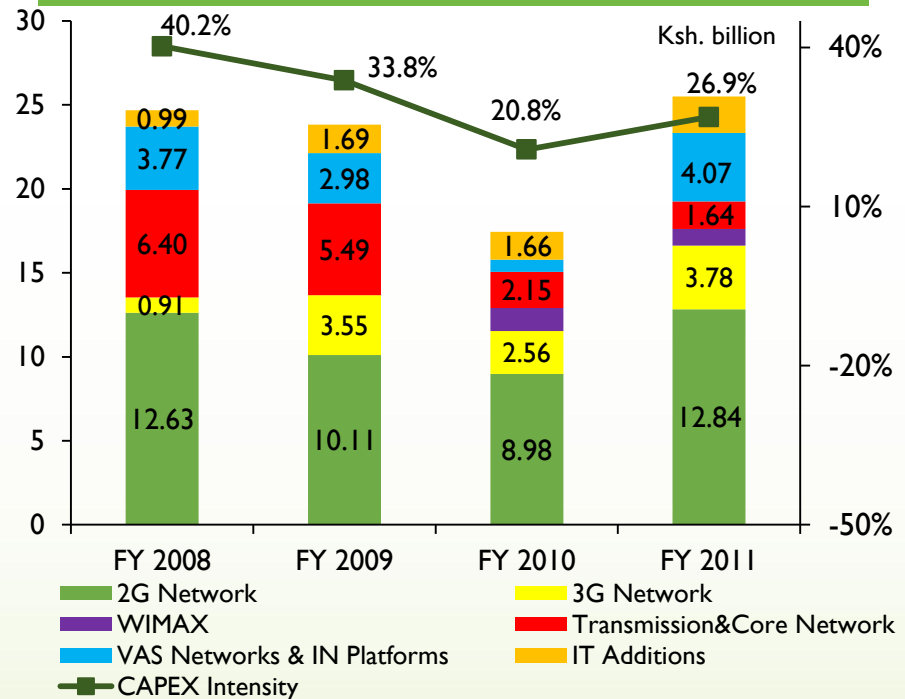
- Marketing costs increased by 37% due to heightened market activity
- Yearly adjustments in pay and increase in head count
- Retail shops increased by 17% from 30 to 35 within the same period

Capital Expenditure:-Investing for the Future

Base Stations



CAPEX



Network growth from 2,162 sites to 2,501 sites

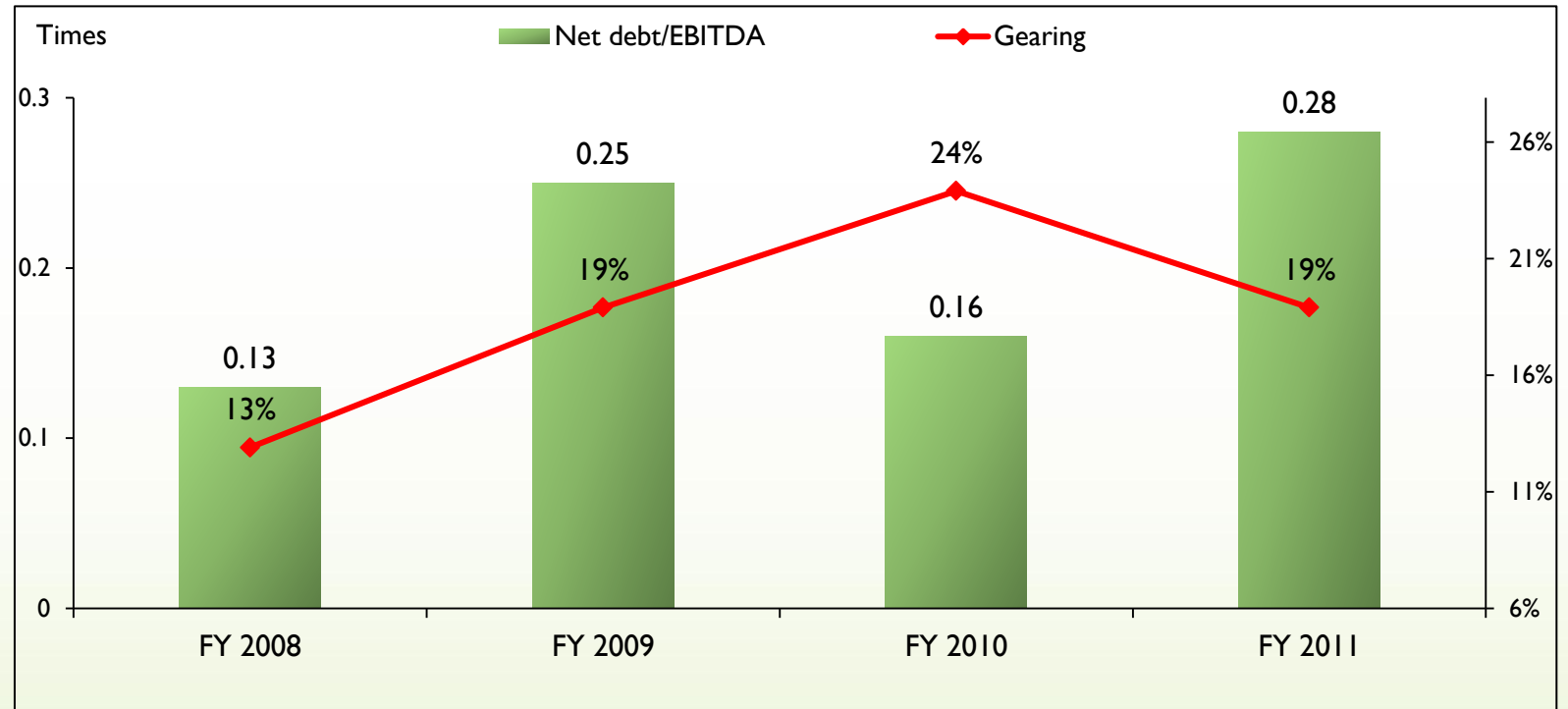
Increase in Capex, for the period by 46.1% to Ksh.25.48bn.

Capex intensity of 26.9%

Capital expenditure expected to continue at a high level in these key investment areas

- Fixed data infrastructure
- 3G Network equipment
- Upgrade of existing 2G equipment (Quality & Capacity)

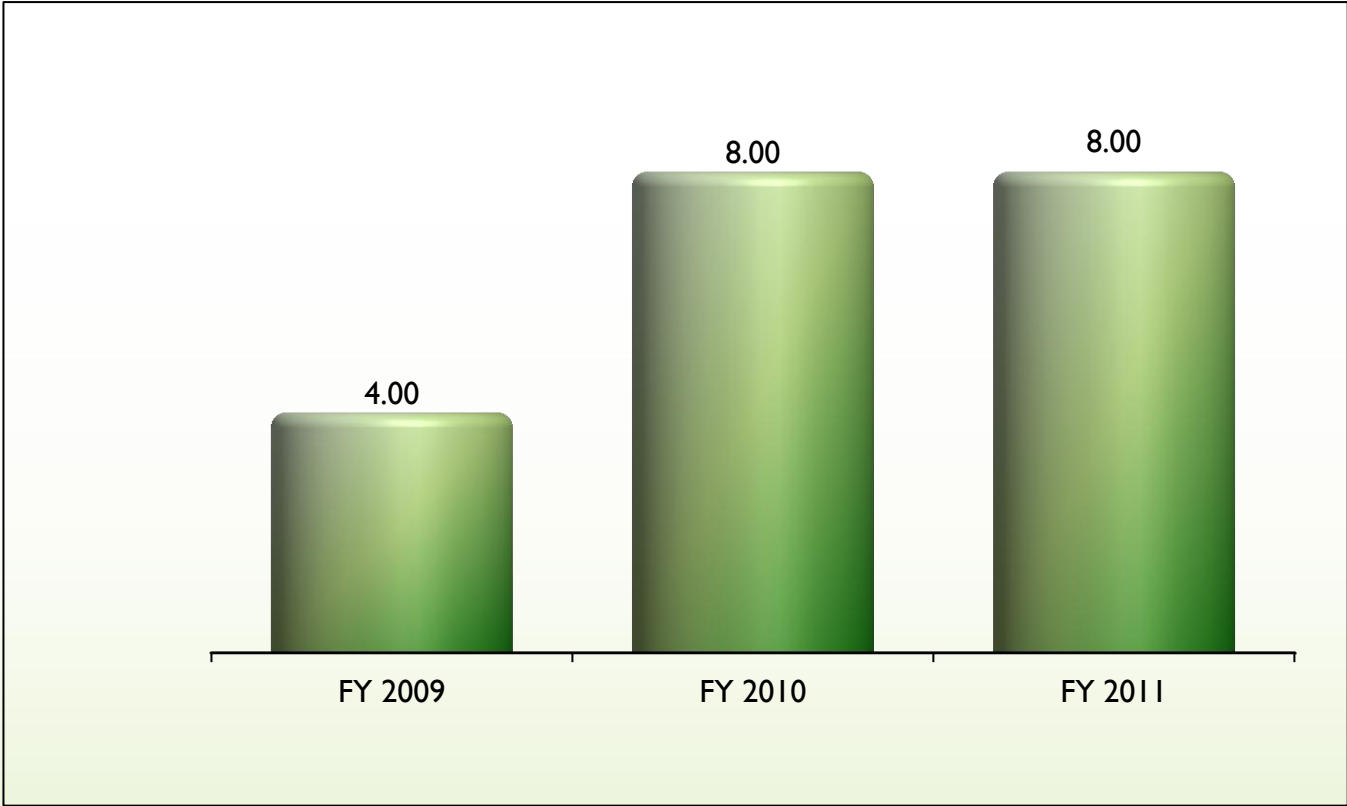
Gearing & Net/EBITDA



Highly under-leveraged

Significant capacity to gear further

Dividends
Kshs. Billion



Consistent dividend payout despite lower earnings

Increased payout ratio from 53% to 61%

FUTURE OUTLOOK

Customer segmentation

Voice Revenue & ARPU

Realignment of Company Strategy - **SAFARICOM 2.0**

Company focus

Take ownership of the enterprise sector

Mobile Data and Mobile Money- continued market leadership

- M-PESA
- Mobile Data
- Fixed Data
- Value Added Services
- Network improvements
- Acquisition products- mobile handsets, data devices and accessories

We have the most extensive and advanced network and are well placed to take full advantage of the expansion in Mobile Money and Data



The following presentation is being made only to, and is only directed at, persons to whom such presentations may lawfully be communicated (“relevant persons”). Any person who is not a relevant person should not act or rely on this presentation or its contents.

This presentation does not constitute an offering of securities or otherwise constitute an invitation or inducement to any person to underwrite subscribe for or otherwise acquire securities in the Company.

The presentation also contains certain non-GAAP financial information. The Group’s management believes these measures provide valuable additional information in understanding the performance of the Company’s businesses because they provide measures used by the Company to assess performance. Although these measures are important in the management of the business, they should not be viewed as replacements for, but rather as complementary to, the comparable GAAP measures.

Safaricom, M-PESA and Safaricom/M-PESA logos are trademarks of Safaricom Ltd. Other products and company names mentioned herein maybe the trademarks of their respective owners.

An aerial photograph of a tropical coastline. A white sandy beach curves along the edge of a turquoise ocean. The land is covered in dense green vegetation. The water transitions from a light turquoise near the shore to a deeper blue further out.

Niko na  Safaricom